

OCR AS and A Level Economics (H060, H460) Topic Questions

Question Paper

Main Topic

Macroeconomics (Component 02)

Sub-Topic

The Global Context

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**To be used by all students and teachers for
OCR AS and A Level Economics (H060, H460)
for exams from 2025 onwards.**

Students and teachers of other boards may also find this useful

Name : _____

Date : _____

Time : _____

Total Marks Available : _____

Total Marks Received : _____

1

* The fall in the value of the South African rand between 2012 and 2016 had an impact on the current account of the country's balance of payments.

Evaluate, with the use of an appropriate diagram(s), whether a fall in the value of a country's currency will always reduce a deficit on the current account of its balance of payments.



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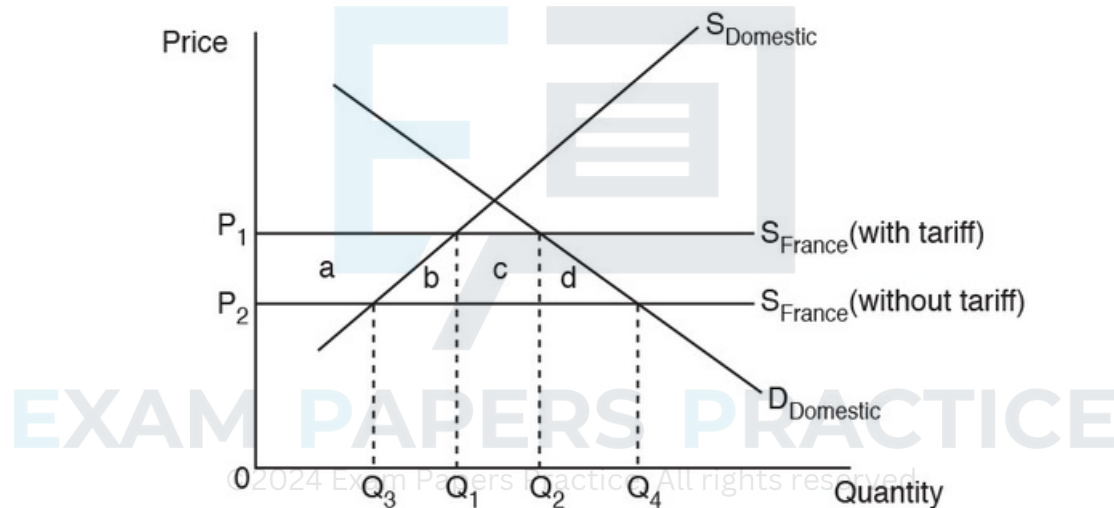
2 Which change will cause the exchange rate to appreciate?

- A A decrease in the demand for exports
- B An increase in domestic interest rates
- C An increase in interest rates abroad An
- D increase in the demand for imports

Your answer

[1]

3 In 2016 Turkey was involved in negotiations attempting to gain membership of the European Union. One impact of it gaining membership would be the removal of the tariff currently charged on agricultural products imported into Turkey from France. The diagram below shows the effect of the removal of the tariff. Which area on the diagram would represent the net welfare gain from trade creation?



- A $a + b + c + d$
- B $a + c + b + d$
- C
- D

Your answer

[1]

- 4 Two countries are involved in the production of cars and bananas. If they each decided to use half of their resources on the production of each of the products, they would produce the following quantities:

Good	Country Y	Country Z
Cars	4,000	3,000
Bananas	300,000	100,000

Which of the following represents world output of each good if both countries fully exploited their comparative advantage?

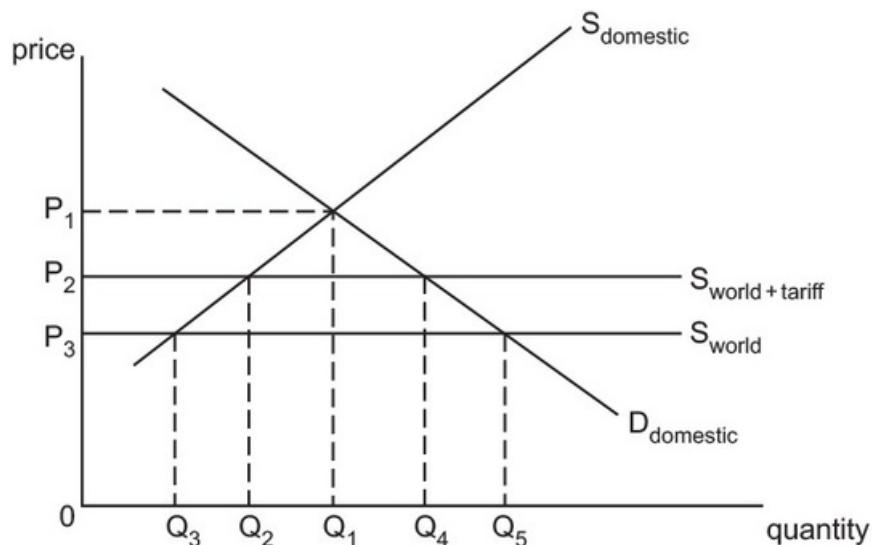
	Cars	Bananas
A	3,000	300,000
B	4,000	100,000
C	6,000	600,000
D	8,000	200,000

Your answer

☐

[1]

5



In the diagram above, what is the new level of imports if a tariff is removed?

- A Q2 –
- B Q3 Q4
- C – Q2
- D Q5 –
- Q3 Q5

Your answer

[1]

6 What is an advantage of EU membership?

- A Member states have tariff free trade with the rest of the world
- B Member states have control over fiscal and monetary policy
- C There are no trade barriers between member states
- D The same currency is shared by all members

Your answer

[1]

7

Please refer to insert H460-03 June 2018, Olympic Games, which can be downloaded separately and is also included with Question 31.

Explain, using an appropriate diagram, why the changes in the Olympics index, illustrated in Fig. 2.2, may occur as a result of a country hosting the Olympic Games.



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8(a)

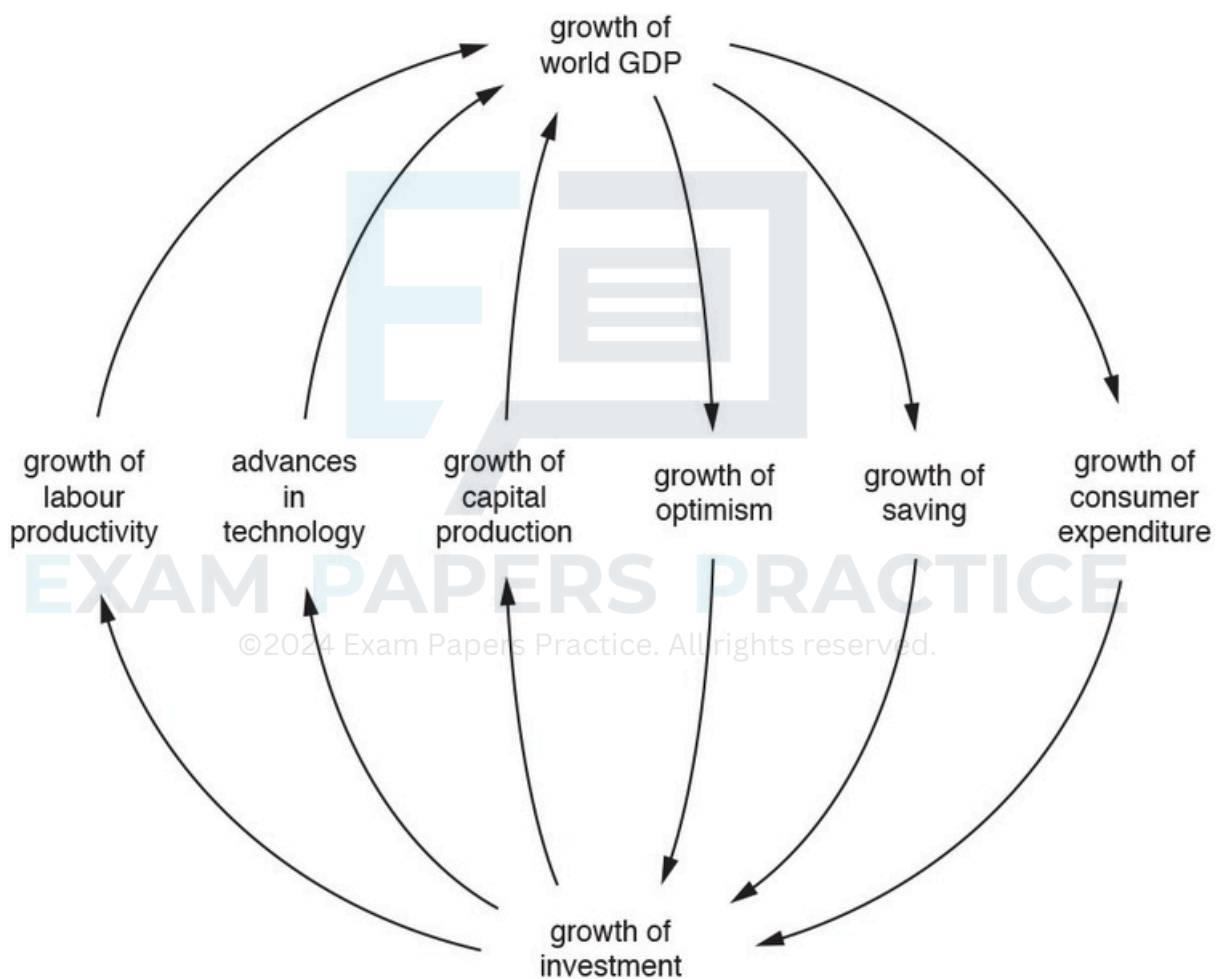
Trade wars threaten globalisation

Trade wars were threatening the process of globalisation in 2018 and were restricting the ability of countries to exploit their comparative advantage and their absolute advantage. In the years before, advances in production and communication technology had lowered production and transport costs, had increased the ability of firms to move production around the world and increased the size of firms' markets.

5

World trade increased by 3.2% in 2017. This contributed to a growth in world GDP. Higher GDP can result in a virtuous circle as shown in Fig. 1.

Figure 1 A virtuous circle



While the benefits of globalisation are widespread, the costs are often concentrated in particular areas and among those unskilled workers who are geographically and occupationally immobile.

- 10 One of the reasons why the US government imposed tariffs on steel imported from China was to protect the jobs of US steel workers.

Some economists are also concerned that globalisation can result in governments engaging in tax competition to keep firms and skilled workers in the country and to attract foreign MNCs and

foreign skilled workers into the country. Table 1 shows government tax revenue and expenditure
15 for selected countries in 2017.

Table 1 Government tax revenue and government expenditure 2017

Country	Government tax revenue (US\$ billion)	Government tax revenue as a % of GDP	Government expenditure (US\$ billion)
China	2672	22.4	3146
Germany	1598	43.8	1573
India	249	10.2	330
Ireland	85	26.2	87
Russia	254	17.3	288
UK USA	984	38.4	1076
	3336	22.0	3991

International competition may, on the other hand, encourage governments to spend more on education, training and health care to increase productivity and so attract foreign direct investment. Table 2 shows the corporate tax rates and the foreign direct investment attracted by the same selected countries.

Table 2 Corporate tax rates and foreign direct investment 2017

Country	Average corporate tax rate (%)	Foreign direct investment per head (US\$)
China	25.0	1098
Germany	29.8	17 963
India	34.6	287
Ireland	12.5	295 400
Russia	20.0	3378
UK USA	19.0	30 852
	40.0	12 489

20 The UK economy is more affected by changes in the global economy than the USA. This is because it is a more open economy. The UK has a relatively high marginal propensity to import. Between 2016 and 2017, average UK household income rose from £26 300 to £27 400 while average household spending on imports rose from £4950 to £5280.

The growth of the emerging economies, including China and India, is having an impact on the UK.
25 For instance, Chinese steel firms have captured some of the UK's steel industry's market at home

and abroad. Indian MNCs produced more than £26 billion of goods and services in the UK in 2016 and employed more than 100 000 workers in the UK.

Distinguish between absolute advantage and comparative advantage.

[2]

(b) Using Table 2, evaluate to what extent differences in corporate tax rates explain differences in foreign direct investment in countries.

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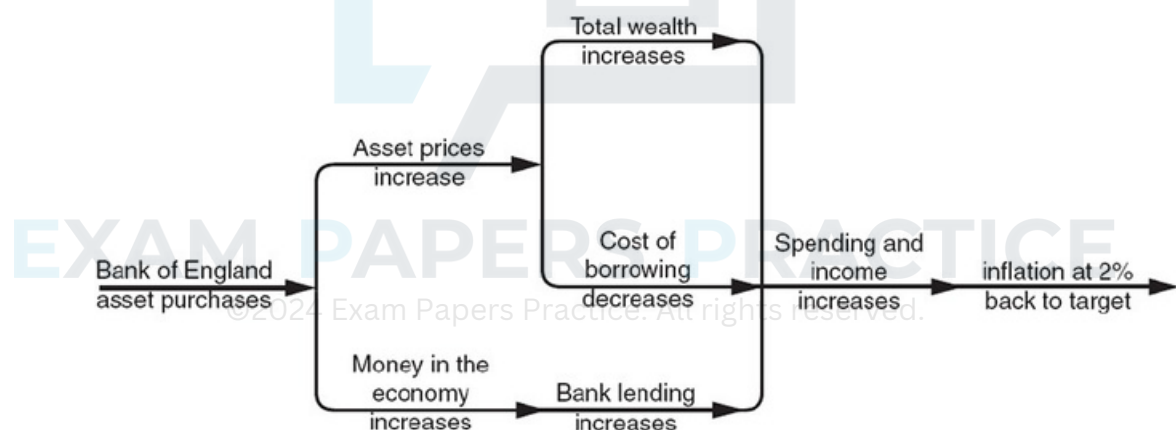
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US and UK monetary policy and the 'Fragile Five'

The Fragile Five was a name invented in August 2013 by a banking analyst, James Lord, to describe Brazil, India, Indonesia, South Africa and Turkey. These emerging economies accounted for 12% of global GDP and 20% of global economic growth between 2009 and 2013. They had, however, a heavy reliance on external finance and were seen as the most susceptible to sudden changes in the direction of hot money flows. In early 2014 they had large current account deficits, slowing economic growth, inflation rates between 6% and 11% and were generally experiencing falling exchange rates.

One influence on the direction and volume of hot money flows to and from the Fragile Five is changes in the monetary policy measures of the US and UK. The US Federal Reserve Bank and the Bank of England had been using quantitative easing to increase the money supply (see Fig. 1). This monetary policy measure had been adopted because it was considered that nominal interest rates were already close to zero and that these very low interest rates were having little effect on aggregate demand. The Bank of England's monetary policy is influenced by its need to meet the government's inflation rate target.

Fig. 1 – The anticipated transmission mechanism of quantitative easing



Towards the end of 2013 and at the start of 2014 US and UK monetary policy changed. There was a reduction in the growth of the money supply in the two countries and the prospect of a rise in interest rates in the US. This led to a significant withdrawal of short term funds from the Fragile Five. In January 2014 all of the Fragile Five economies raised their interest rates to prevent an outflow of foreign funds and further falls in their currencies.

At an emergency midnight meeting the Turkish central bank raised the country's interest rate from 7.75% to 12%. Hot money flows finance more than 80% of Turkey's current account deficit. Turkey's currency, the Turkish lira, fell by 13% against the US dollar in January 2014. Table 1 provides details of changes in Turkey's export and import prices and volumes and current account position in recent years. Among these changes were that Turkey's terms of trade altered from 101 in 2011 to 98 in 2012 and 97 in 2013.

Brazil's trade balance and the value of its currency, which is called the real, also fluctuated over the period. Fig. 2 shows the change in Brazil's exchange rate against the US dollar and its trade balance between 2009 and 2013.

Table 1 – Turkey's export prices, import prices, export volumes, import volumes and current account position, 2009–13

Year	Index of export prices	Index of import prices	Index of export volumes	Index of import volumes	Balance on the current account of the balance of payments as % of GDP
200	96	95	10	10	–2.5
9	102	98	3	5	–8.0
201	108	107	12	11	–10.0
0	109	111	0	0	–7.0
201	110	113	11	12	–5.7

1

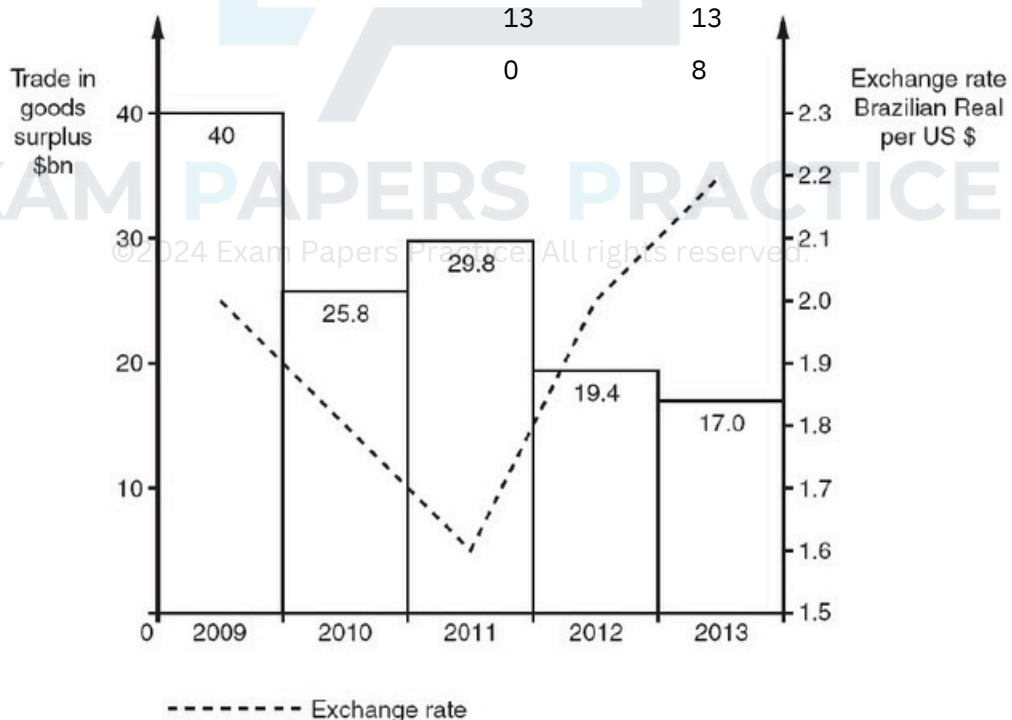
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2

201

3

Fig. 2 – Brazil's exchange rate and trade balance, 2009–13



The governments of Brazil, Turkey and the other three Fragile Five economies urged the US and the UK to continue with quantitative easing and not to raise interest rates. Janet Yellan, the Chairman of the Federal Reserve Bank, however, stated that US monetary policy will be influenced only by the US economy. This led to criticism by the governors of the central banks

of the Fragile Five economies. Raguram Rajan, India's central bank governor, argued for greater policy cooperation between developed and emerging economies. He said that, 'We
40 would like to live in a world where countries take into account the effect of their policies on other countries and do what is right broadly, rather than what is right given the circumstances of that country.'

Please refer to insert H460-02 Specimen which can be downloaded separately and is included above.

Using Table 1:

(i) Calculate the change in Turkey's terms of trade between 2009 and 2010.

[2]

(ii) Explain what happened to Turkey's terms of trade over the whole period shown.

[2]

(b) Using Fig. 2:

(i) Explain what happened to Brazil's exchange rate between 2011 and 2013.

----- [2]

(ii) Explain what effect the change in Brazil's trade in goods surplus between 2009 and 2010 would have been expected to have had on the country's exchange rate.

----- [2]

(c) * Evaluate the extent to which an emerging economy, such as India, can operate an independent monetary policy.

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- Evaluate whether globalisation always increases income inequality in a developed economy.



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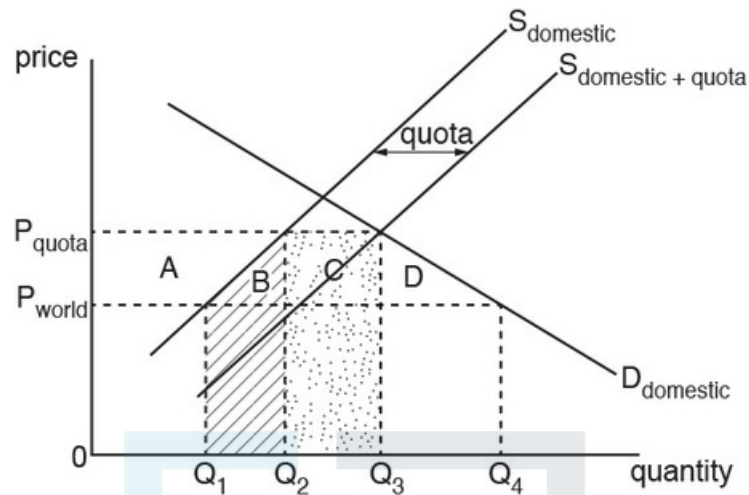
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- 11 In a domestic market without protectionism, the world price of Good Y is represented by P_{world} in the diagram below. The government intervenes and bans the import of Good Y from all countries except Country X, on which it imposes a quota. Which area shows the revenue generated by Country X as a result of this quota being imposed?



- A Area A
 B Area B
 C Area C
 D Area D

Your answer

[1]

- 12 Which of the following identifies the stages of economic integration in the correct order, from least integrated to most closely integrated?

- A Customs union – monetary union – free trade area – economic union
 B Free trade area – customs union – monetary union – economic union
 C Free trade area – monetary union – customs union – economic union
 D Monetary union – customs union – free trade area – economic union

Your answer

[1]

13 What does the Marshall-Lerner condition state?

- A An exchange rate depreciation will only improve the balance of trade if the sum of the elasticities of demand for exports and imports is greater than one.
- B An exchange rate depreciation will only improve the balance of trade if the sum of the elasticities of demand for exports and imports is less than one.
- C Countries have a comparative advantage in the production of goods which intensively use the factors of production they have plentiful supply of.
- D Countries have an absolute advantage in the production of goods which intensively use the factors of production they have plentiful supply of.

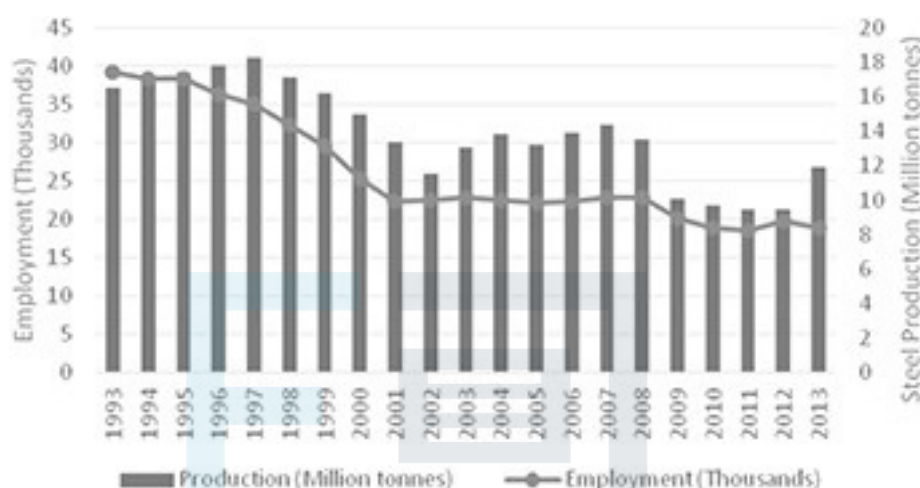
Your answer

[1]

14 Extract 1 – Problems in the UK steel industry

In recent years the steel industry in the UK has been in rapid decline. Whilst globalisation and a number of other structural changes such as the impact of the global financial crisis account for the shrinking of the industry over the past twenty years, the fact that production fell by almost a third between 2014 and 2015 demonstrates there are a number of significant short term pressures, including the strength of the pound, the relatively high electricity prices and the extra cost of climate change policies.

Figur 1.1 – UK Steel Production & Employment



Given the role steel plays as a crucial input in the production process in so many industries, it is understandable why increased competition in the steel market is of interest to the government. Steel is used widely in the construction of roads, other infrastructure and a wide range of home appliances, including ovens and sinks, all of which have been affected by movements in the price of steel.

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Perhaps the biggest threat facing the UK steel industry is the competition it faces from China. China has the capacity to produce 1.1 billion tonnes a year. This not only dwarfs UK production but indeed Europe's as a whole – steel production in the entire European Union stands at 170 million tonnes. Some economists critical of China's actions point to the problems caused by the huge excess capacity that the country is believed to have; estimated to be more than 300 million tonnes. In the face of falling domestic demand Chinese firms are now selling overseas at a loss in order maintain their production levels. Whilst EU steel imports into the UK cost on average 897 euros a tonne in 2014, Chinese steel imports were just 583 euros a tonne. It is argued that selling at unfairly low prices in this way has destabilised the global steel market, with UK firms finding it impossible to compete.

Such actions have reignited the debate surrounding the benefits of protectionism. Whilst some EU anti-dumping measures have already been implemented in the steel industry, it is argued that further tariffs might be necessary to protect British jobs. However, the Chinese government says this goes against the terms of the agreement it reached when it joined the World Trade Organisation in 2001. Indeed, this is just one of many trade disputes which have occurred between China and the EU in recent years.

Industry experts warn that the plight of British steel manufacturers cannot only be blamed on China. The

increasingly tough air pollution standards imposed on British firms put them at a competitive disadvantage compared to Chinese firms who are not required to meet these standards. Moreover, the appreciation of the pound, particularly against the Euro, has rendered British steel uncompetitive in European markets. This suggests a broader range of policies may be required to ensure the survival of the industry in the UK, including: lower business rates, a relaxation of carbon emissions targets for heavy manufacturers and a commitment that British steel is used in major construction projects.

Extract 2 – Tata Steel as a dominant employer

Figur 2.1 – Employment in the UK Steel Industry



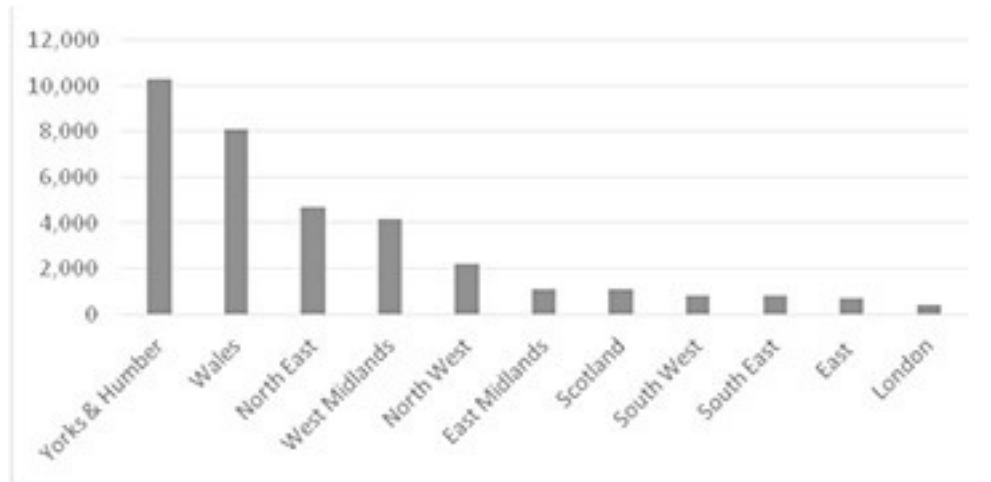
In January 2016, Tata Steel announced a further 1,050 job losses, including 750 at Port Talbot, the UK's biggest steelworks, on top of the already significant cut backs made in recent years. This is particularly troublesome given the increasingly dominant role Tata Steel plays in the UK steel industry. As other manufacturers have either shut down or relocated, Tata Steel is now responsible for employing 17,000 of the approximately 20,000 workers employed in the steel industry, suggesting the prospects of finding similar employment for those being made redundant is remote.

This dominant position also indicates Tata Steel may in fact be acting as a monopsonist employer. Trade unions, unhappy about enforced reforms to pensions and engaged in negotiations surrounding wages and working conditions, argue that the company is abusing its market power at great cost to its workers. Tata's response to this accusation is that it is external competitive market pressures in the steel industry driving its behaviour in the labour market, rather than any deliberate action to exploit workers.

Extract 3 - Moving the UK labour market forward

Job losses in the steel industry present particular concern to the government because of the uneven way in which employment is distributed across the country, as illustrated in Fig. 3.1.

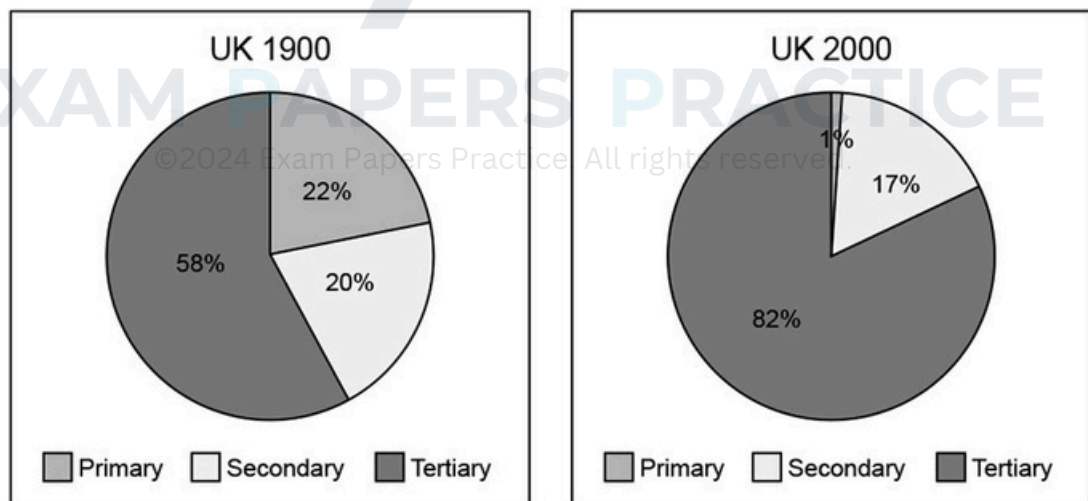
Figur 3.1 – Employment in the UK steel industry by region



The decline in the steel industry therefore has the potential to be very harmful on the local economies of regions where steel production takes place, with a lack of geographical mobility likely to create regional unemployment.

Changes in the steel industry in some ways mirror the wider changes which have taken place in employment across the UK economy over the last century as a result of deindustrialisation.

Fig 3.2 – Employment in the UK by sector



This loss in manufacturing employment and the increasing demand for skilled workers has caused a number of skills shortages to develop in the economy. Economists point to this, along with the regional unemployment that has developed as a result of the shutting down of manufacturing firms in the north of England, as evidence of the UK labour market being inflexible.

In an increasingly globalised world in which consumer demand, technology and patterns of comparative advantage are constantly changing, having a flexible labour market is crucial in enabling UK firms to be

internationally competitive. This has caused the government to consider a number of policies designed to create a labour market in which skilled workers are able to quickly adjust to the changing demand of employers, firms have flexibility over wages and flexible working hours and contracts are commonplace.

Some policies to achieve this are more controversial than others, with a topical cause for debate being the existence of zero hours contracts. Approximately 1.4 million individuals in the UK are currently employed on such contracts, which require workers to work as and when they are needed with variable hours. Whilst this has certainly enabled firms to more easily alter the size of its workforce in responses to changes in demand, it is criticised by some as being extremely unfair to workers because of the uncertainty it creates. On the other hand, this could be seen as a good example of the type of relaxing of employment protection required to keep the UK economy competitive in the twenty first century.

In addition, there are a number of other policy options available to the government to improve the flexibility of the UK labour market:

- Implement a points based immigration system
- Raise the school leaving age
- Provide more apprenticeships
- Reduce marginal tax rates

Please refer to insert H460-03 Practice 1 which can be downloaded separately and is included above. Identify two factors which could explain falling profitability in the UK steel industry.

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- 15 Please refer to insert H460-03 Practice 1 which can be downloaded separately and is included above with Question 31.

Evaluate, using an appropriate diagram, the extent to which protectionist policies would benefit the UK steel industry and the wider macroeconomy.



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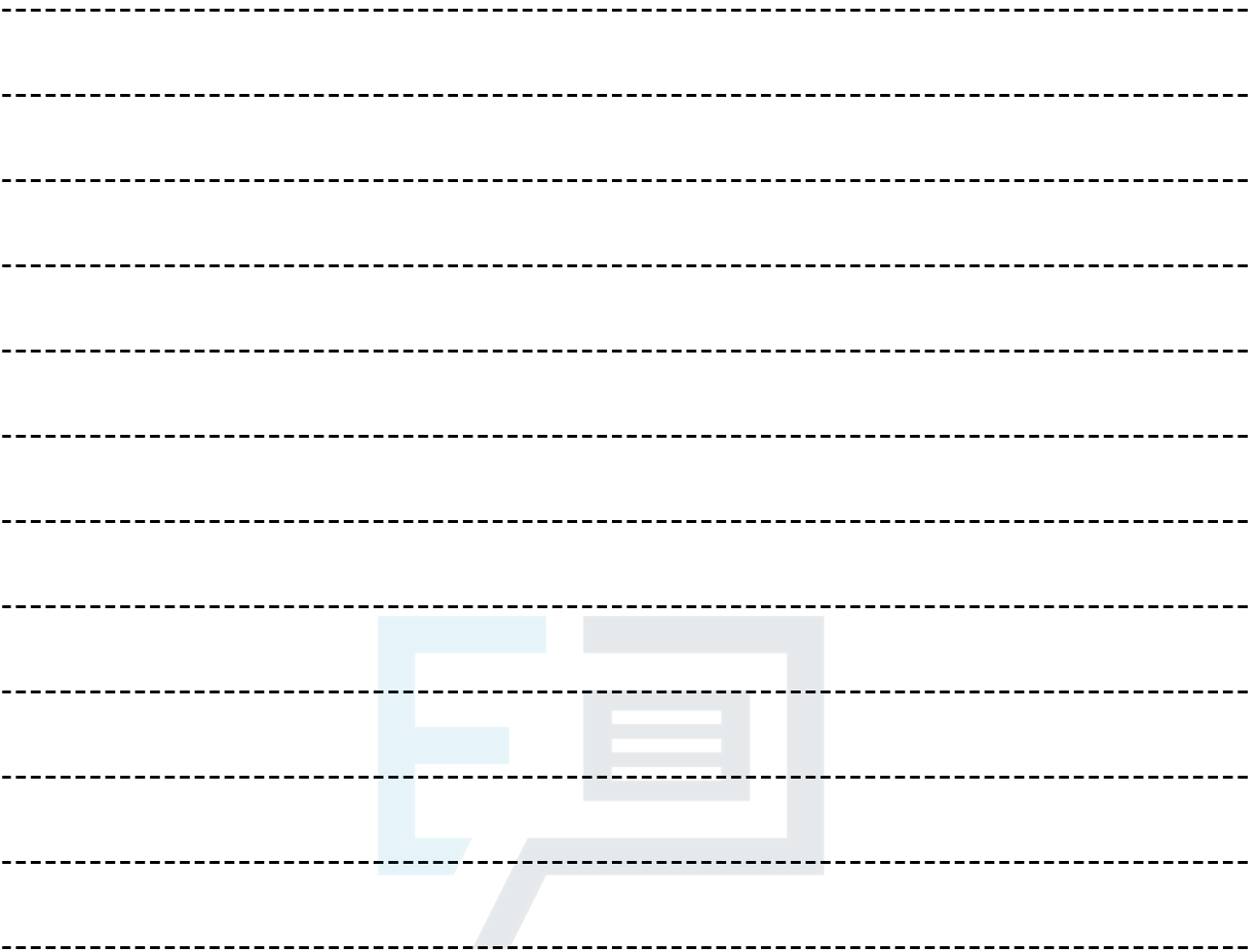


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16 A country has a deficit in the current account of its balance of payments. Its government devalues its currency.

Which combination of price elasticities of demand and supply would enable the devaluation to reduce the deficit?

Your answer

[1]

17 Which of the following is a characteristic of a customs union but not of a free trade area?

- A A common currency between the member states
- B A common external tariff
- C Fixed exchange rates
- D The absence of tariff barriers between member states

Your answer

[1]

18 A British manufacturer of luxury cars sets its prices in pounds sterling (£) and sells 90 cars per week in the USA when the price is £200 000 per car and the exchange rate is £1 = \$2. The price elasticity of demand for its cars in the USA is unitary.

Assuming an unchanged sterling price, what is the maximum number of cars it can sell per week if the exchange rate changes to £1 = \$1.50?

- A 60
- B 90
- C 12
- D 0
- 15

Your answer

[1]

19 Which of the following is a characteristic of globalisation?

- A A reduction in the harmonisation of economic policies
- B A reduction in the impact of external shocks on national economies
- C A reduction in the power of international organisations such as the IMF
- D A reduction in the segmentation of markets between national economies

Your answer

[1]

20 The table below shows selected economic data on four countries in 2012.

Country	GDP (US\$bn PPP)	Exports (US\$bn)	Imports (US\$bn)	Stock of FDI at home (US\$bn)	Stock of FDI abroad (US\$bn)
Belgium	416	305	312	1160	1185
Denmark	209	106	98	148	139
Germany	3228	1460	1250	1320	1830
USA	16 240	1562	2264	2670	4460

Which country was the most integrated into the global economy?

- A Belgium
- B Denmark
- C Germany
- D USA

Your answer

☐

[1]

21 A country is faced with a surplus in the current account of its balance of payments and unemployment.

Which of the following would reduce both of these problems?

- A A decrease in its government spending on education
- B A decrease in its interest rates
- C An increase in its rate of corporation tax
- D An increase in the value of its currency

Your answer

☐

[1]

22 Which of the following factors has contributed to globalisation?

- A Higher trade barriers
- B Improvements in communications
- C More restrictions on capital movements
- D Tighter immigration controls

Your answer

☐

[1]

23 The theory of comparative advantage seeks to explain patterns of trade. Which of the following is a weakness of the theory of comparative advantage?

- A A developing country may lack the capital to have an absolute advantage in the production of any good or service over a developed country
- B Countries will import goods from countries that can produce those goods at a lower opportunity cost
- C Heckscher-Ohlin theory suggests countries should specialise in producing goods which intensively use factors of production they have large endowments of
- D High transport costs mean countries are more likely to trade with neighbouring countries

Your answer

[1]

24 A small country engages in the international trade of seven goods. Using the information below, calculate the terms of trade.

Good	Price of good	Proportion of total export revenue
Exports		
A	£22	25%
B	£5	25%
C	£2	30%
D	50p	20%
Imports		
E	£7	10%
F	£2	70%
G	£1	20%

- A 0.3
- B 1
- C 0.4
- D 5
- 2.2

Your answer

[1]

- 25 Please refer to insert H460-03 June 2019 which can be downloaded separately and is included above with Question 27.

Some economists argued membership of the European Single Market caused a number of trade distortions, including in the beef market, where Irish firms had an artificial advantage over US firms as a result of being able to export to the UK tariff-free.

Explain, using an appropriate diagram and the information in Extract 1, the impact on the UK of a free trade deal that would enable US firms to export beef to the UK tariff-free.



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[6]

- 26 Please refer to insert H460-03 June 2019 which can be downloaded separately and is included above with Question 27.

Using Fig. 1.2, explain what happened to the value of the pound following the UK's vote to leave the European Union.

[2]

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- 27 * The central bank of Kenya cut the country's interest rate twice in 2016. The first time it was followed by a fall in the value of the country's currency, the Shilling, but the second time its exchange rate appreciated.

Evaluate, with the use of an appropriate diagram(s), whether a reduction in a country's rate of interest would reduce its exchange rate.



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[25]

28 * In June 2016 Afghanistan joined the World Trade Organisation, becoming its 164th member.

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- 29 * The central bank of Kenya cut the country's interest rate twice in 2016. The first time it was followed by a fall in the value of the country's currency, the Shilling, but the second time its exchange rate appreciated.

Evaluate, with the use of an appropriate diagram(s), whether a reduction in a country's rate of interest would reduce its exchange rate.



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30 * In June 2016 Afghanistan joined the World Trade Organisation, becoming its 164th member.

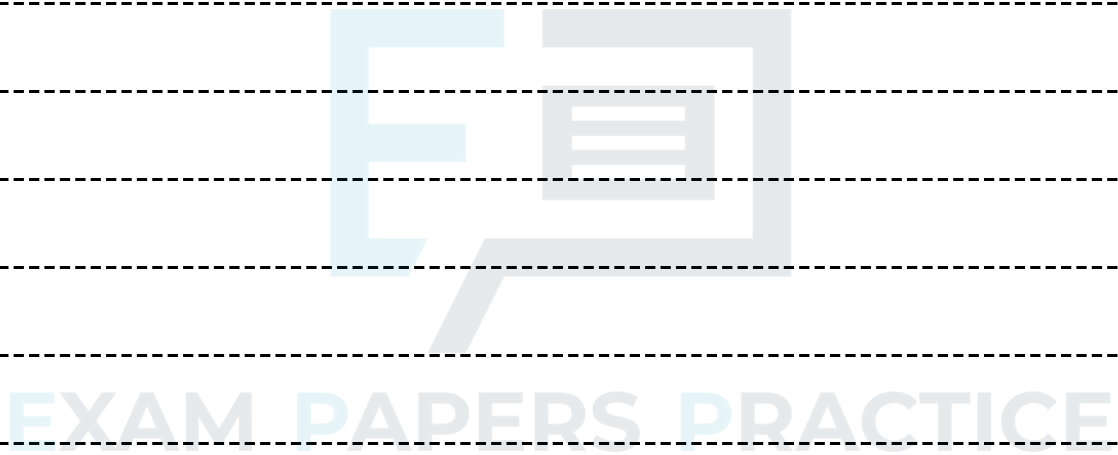
Evaluate whether joining the World Trade Organisation (WTO) would increase a country's economic development.

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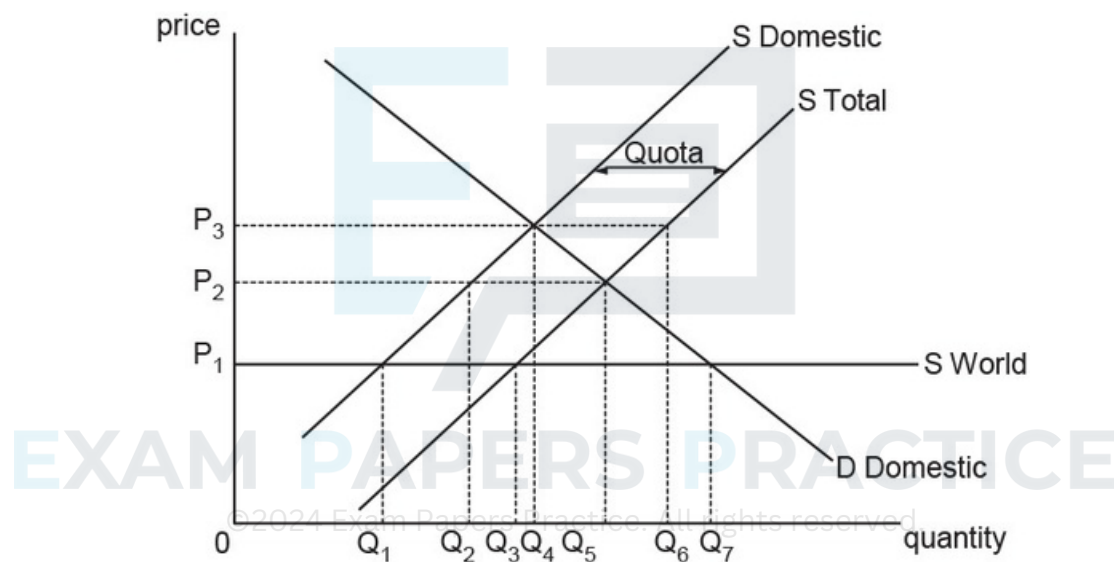
31 What would cause the exchange rate to depreciate?

- A An increase in domestic incomes
- B An increase in incomes abroad
- C Export subsidies
- D Technological advancement of domestic goods

Your answer

[1]

32 The diagram below shows the market for textiles in the US. Suppose the market was initially operating at a price of P_1 , when no restrictions on trade were in place. What is the new market equilibrium as a result of the US imposing a quota on textiles imports?



Option	Price	Domestic Production	Quantity Consumed
A	P_1	Q_1	Q_3
B	P_2	Q_2	Q_5
C	P_2	Q_5	Q_5
D	P_3	Q_4	Q_6

33 What is the impact of the Marshall-Lerner condition holding?

- A An exchange rate appreciation will only reduce a current account deficit in the long run
- B An exchange rate appreciation will reduce a current account deficit
- C An exchange rate depreciation will only reduce a current account deficit in the long run
- D An exchange rate depreciation will reduce a current account deficit

Your answer

☐

[1]

34 How does comparative advantage explain why the UK imports cars from Germany?

- A German car manufacturers can export tariff free to the UK
- B Germany can produce cars at a lower opportunity cost than the UK
- C Germany can produce cars more efficiently at a lower cost of production than the UK
- D Germany is located closer to the UK than US car manufacturers

Your answer

☐

[1]

The global economy is changing. It is becoming more integrated and China is moving towards becoming the world's largest economy. Lower costs of transport continue to increase the volume of international trade. Producing in different countries and buying products from anywhere in the world are being made easier by advances in communications.

- 5 World trade grew by 4.4% in 2017 and is predicted to grow by 4.7% in 2018. China is accounting for a higher proportion of this global trade and a higher proportion of global output. The country has experienced a significant rise in its GDP per head in recent years. This has had an impact on its citizens' life expectancy. Fig. 1 shows the average income and life expectancy in a number of countries.

Country	GDP per head (\$)	Life expectancy (years)
Bangladesh	4200	73.7
China	16700	75.8
Egypt	12700	73.2
Germany	50800	80.9
Guinea	2200	62.1
Japan	42900	85.5
UK	44300	80.9
USA	59800	80.1

Fig. 1 GDP per head and life expectancy in selected countries 2017

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- 10 Developments in the Chinese economy can be illustrated by both movements in the country's production possibility points and in the position of the production possibility curve as shown in Fig. 2.

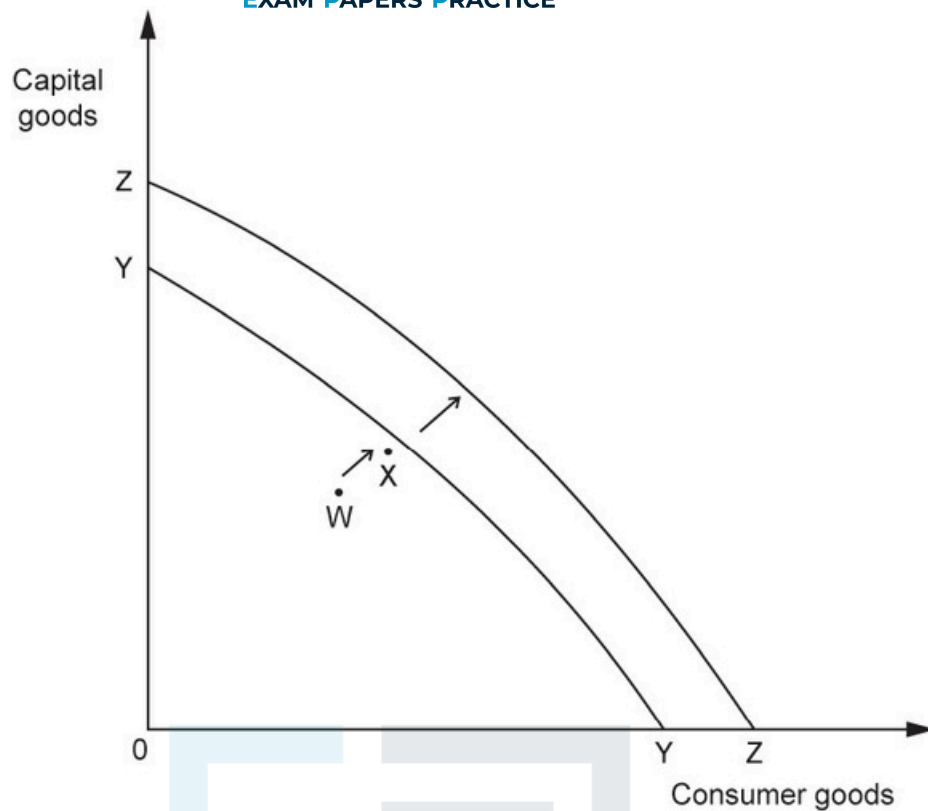


Fig. 2 A country's production possibility curve and points

The Bangladeshi economy has also grown in recent years, but its growth has been more erratic. In 2017, the country's main export destinations were the USA, Germany, UK and France. Its main sources of imports were China, India, Singapore and Japan. In 2017, the value of its exports to the UK was £2251 m while the value of its imports from the UK were £190 m. Bangladesh is also a recipient of UK overseas aid. In 2016, the UK government spent £13.4bn on overseas aid, in line with its target of 0.7% of GDP. Bangladesh was the 11th largest recipient, receiving £170 m. Fig. 3 provides some more information on the Bangladeshi economy.

	\$
Consumer expenditure	billion
Exports	191 50
Government spending	13 76
Investment	68 25
Imports	
Tax revenue	

Fig. 3 Details on the Bangladeshi economy 2017

20 Bangladesh's finance minister suggested in 2017 that he would cut the country's corporate tax

rates as they are much higher than most other countries. He argued that such a move would increase the country's rate of economic growth.

Some economists suggest that low-income countries are likely to grow more rapidly than high-income countries. Fig. 4 shows GDP per head and economic growth rates of a number of countries.

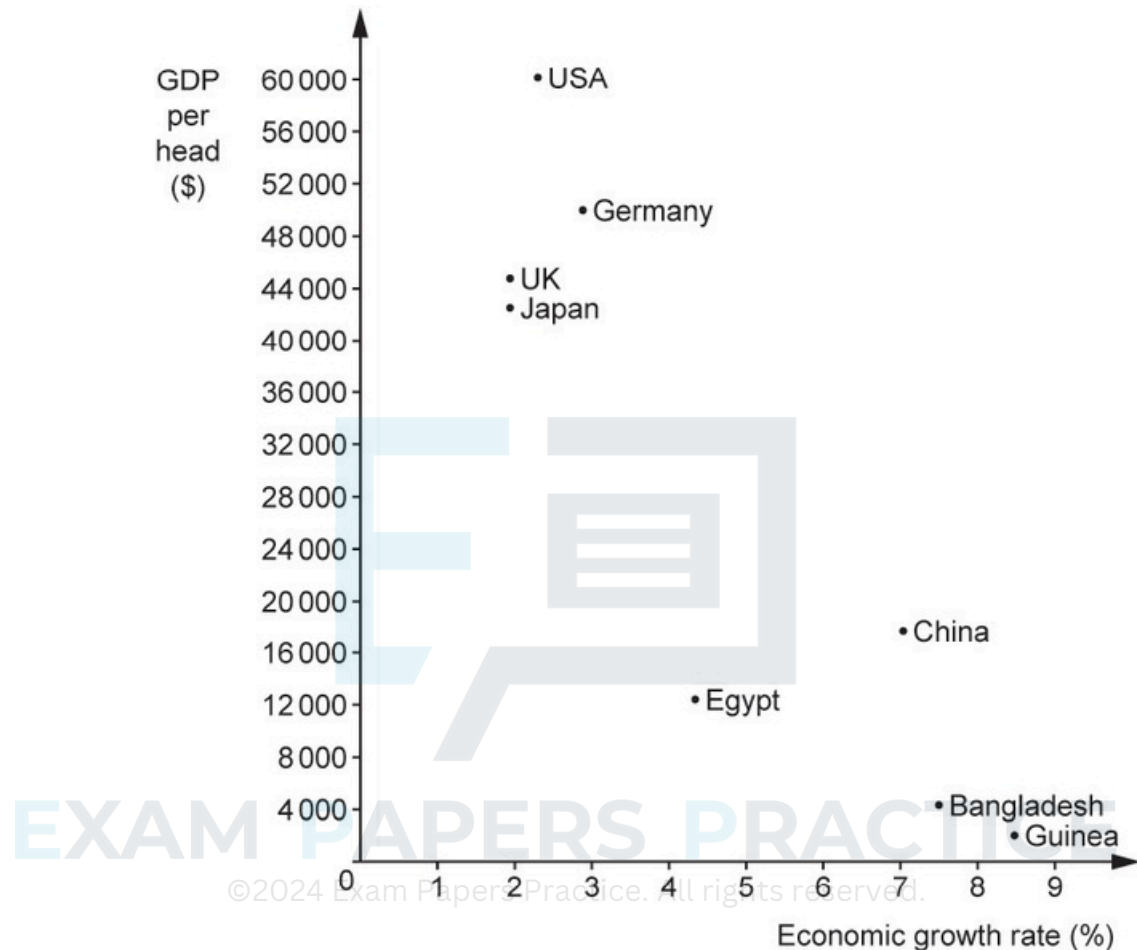


Fig. 4 GDP per head and economic growth rate of selected countries 2017

- 25 People in low-income countries may have a greater incentive to work hard to improve their living standards. Perhaps more significantly, the countries may be able to take advantage of technology transfer from high-income countries and their relatively low wages may attract foreign direct investment. The countries may also have greater potential to reallocate resources from low to high value activities.
- 30 To date, Asian countries have been more successful in narrowing the income gap than African countries. A number of African countries have poor infrastructure, low labour productivity, rapidly growing populations and a lack of economic and political stability.

Please refer to insert H460-02 October 2020 which can be downloaded separately and is included above.

Using information from the stimulus material, identify two causes of globalisation.

Cause 1

Cause 2

----- [2]

- 36 * In 2018, the US President accused China and Russia of lowering the value of their currencies to artificially low levels.

Evaluate, with the use of an appropriate diagram(s), whether a central bank's decision to reduce the exchange rate to an artificially low level will benefit its economy.

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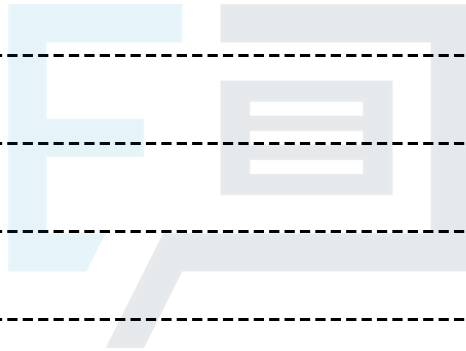


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37 Extract 3 – Emerging economies and international trade

Whilst much of the developed world grapples with the challenge of trying to reduce people's food intake to improve their health, it remains the case that in many of the world's least developed countries (LDCs), millions of citizens suffer from malnourishment as a result of living in absolute poverty. High and sustained rates of economic growth are considered essential in overcoming this problem, with the diet of individuals living in emerging economies noticeably improving as a result of the rapid economic growth they have seen in recent years. Fig. 3.1 illustrates how GDP and population size has changed in selected countries over the past 20 years.

5

Country	GDP (USD, billions at 2010 prices)		Population (millions)	
	2000	2019	2000	2019
Brazil	1538	2347	175	211
China	2232	11 537	1262	1398
Germany	3118	3959	82.2	83.1
Japan	5348	6210	127	126
US	12 620	18 318	282	328

10

15

Fig. 3.1 – GDP and Population of selected countries 2000–19

Brazil's high rate of economic growth is often credited to the way it has embraced export-led growth, having liberalised its trade policy in the early 1990s. It is one of the world's largest producers of soybeans and exports soy across the globe. This expansion in exports has contributed to Brazilians enjoying higher levels of income and a reduction in poverty. Indeed, it is often argued that it is emerging economies such as Brazil with plentiful natural resources and China with an abundant labour supply that have benefited most from international trade, whilst a number of developed nations, such as the UK, suffer from persistent current account deficits.

20

Fig. 3.2 details the value of exports in the same countries listed in Fig. 3.1.

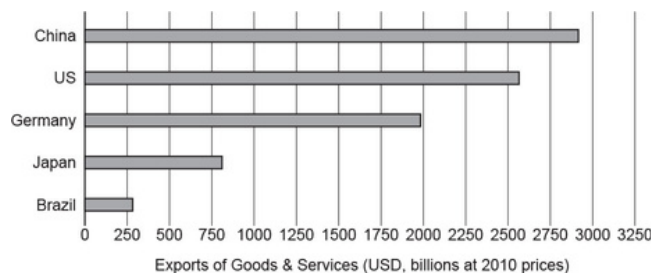


Fig. 3.2 – Exports of Goods & Services of selected countries in 2019

However, it is not universally accepted that Brazil has benefited from international trade. The price volatility on world markets of the commodities it exports can be very damaging to the economy, whilst the rate of deforestation in the Amazon rainforest is often cited as an example of how emerging economies suffer from the intensive use of their natural resources.

25



[15]

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END OF QUESTION PAPER



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